

Ideally, at the end of the year, Shaya will have paid the exact total amount she owed in taxes, which we know is \$15,680 based on our calculation in the previous section. If she pays more than that, she will get a tax refund when she files her taxes in 2020; if she pays less than that, she will owe more money to the government when she files her taxes. Because she has already paid \$14,110.14, it looks like Shaya is on pace to overpay and will receive a sizeable refund when she files her taxes.

While most people have their taxes withheld from their paychecks, freelance workers are responsible for paying their taxes on their own. This means that if you are a freelance employee, you should set aside money each time you are paid to cover your taxes. Freelance workers (also called independent contractors) need to pay income tax plus a **self-employment tax**, which is 15.3% as of October 2020. This 15.3% goes toward the Social Security and Medicare costs that are typically taken out of paychecks for non-freelancers.³⁴

Because freelancers are responsible for withholding their own taxes, being able to calculate how much they owe in taxes is especially important. Instead of having money withheld from each of their paychecks, most freelance employees will make payments to the IRS every three months. If you are a freelance worker, you can pay your taxes by mail, online, or even by using the IRS app. All your payment options can be viewed at www.irs.gov/payments.

34 "Self-Employment Tax (Social Security and Medicare Taxes)," Internal Revenue Service, last modified November 9, 2020, <https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes>.